TELCO CUSTOMER CHURN ANALYSIS

Executive Summary

Analyst: Priyanka Kapavarapu | Date: February 2026 | Tools: Excel | SQL | Power BI

BUSINESS PROBLEM

TelCo Company experiences a 26.54% customer churn rate, resulting in ₹ 1.67M in annual revenue at risk. Leadership requires actionable insights to reduce churn within the next 12 months.

APPROACH & METHODOLOGY

- Analyzed 7,043 customer records across 21 variables
- Performed data cleaning and validation
- Created 4 calculated fields for segmentation analysis
- Developed 8 advanced SQL queries
- Built interactive Power BI dashboard for stakeholder access
- Cross-validated findings across Excel, SQL, and Power BI

KEY FINDINGS

1. CONTRACT TYPE IMPACT

- Month-to-month customers churn at 42.7%
- Two-year contract customers churn at 2.8%
- 15x difference between contract types
- Month-to-month accounts for 88.5% of all churn

2. FIRST-YEAR RETENTION CRISIS

- 47.4% of new customers churn within first 12 months
- First-year churners represent 55% of total churn
- Average tenure before churn: 18 months

- Critical intervention window: Months 1-12

3. PRICE SENSITIVITY

- Churned customers paid ₹ 74.44/month on average
- Retained customers paid ₹ 61.27/month on average
- ₹ 13.17 price gap (21% premium)
- Indicates pricing as major churn driver

4. SERVICE SUPPORT GAP

- Customers without tech support: 41.7% churn rate
- Customers with tech support: 15.2% churn rate
- 2.7x higher risk without support
- Particularly critical for Fiber optic customers

5. PAYMENT METHOD CORRELATION

- Electronic check users: 45.3% churn rate
- Auto-pay users (bank transfer): 16.7% churn rate
- Payment friction may contribute to churn

BUSINESS RECOMMENDATIONS

RECOMMENDATION 1: Incentivize Long-Term Contracts

Action: Offer 20% discount for customers switching from month-to- month to 1-year contracts; 30% for 2-year contracts

RECOMMENDATION 2: First-Year Onboarding Program

Action: Implement structured touchpoints:

- Month 1: Welcome call + setup assistance
- Month 3: Service optimization check-in
- Month 6: Loyalty reward + annual plan offer
- Month 12: Anniversary thank-you + retention offer

RECOMMENDATION 3: Bundle Tech Support with Fiber Service

Action: Include basic tech support (currently ₹ 15/month add-on) free for first 6 months with Fiber optic service

PROJECTED BUSINESS IMPACT

Current State:

- Churn Rate: 26.54%

- Annual Revenue at Risk: ₹ 16,69,570

- Churned Customers: 1,869

Projected State (After Interventions):

- Churn Rate: 22.56% (15% reduction)

- Annual Revenue at Risk: ₹ 14,19,135

- Churned Customers: 1,589

Net Benefit:

- Customers Saved: 280

- Revenue Protected: ₹ 2,50,435 annually

- Total Investment: ₹ 1,75,000

- Net ROI: 43% in Year 1

CONTACT

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